



\$688
billion
the cost of supply
chain transportation
in the US, in 2009

EXTENDING THE CHAIN

- › **Adding value** Companies may try to add value along the chain, rather than just seeing it as a way to transport a product from A to B. *See pp.324–325.*
- › **Delegating functions** To save money and use specialized expertise, the business can outsource activities and/or have them done by local companies or a branch of its own company offshore. *See pp.326–329.*
- › **Returning goods** Part of the supply chain involves an efficient system for dealing with goods returned by the consumer. *See pp.330–331.*
- › **Competitive edge** At every stage, the company compares its performance with its competitors to see how it can improve. *See pp.332–333.*
- › **Ethics and the environment** Taking responsibility for avoiding pollution and protecting workers' rights is part of the package. *See pp.334–335.*



Distribution

Finished goods are transported to storage depots or retailers.



Retailer

The store displays the products for maximum appeal to the consumer.



Consumer

The consumer enjoys the finished product, and ideally recycles the packaging.